SENATE COMMITTEE ON FINANCE

Hearing on the fiscal effect of Senate Bill 214, 16 April 2025 (excerpt)

CHAIR. The Legislative Fiscal Officer.

THE FISCAL OFFICER. Chair, the note before the Committee was prepared on the bill as introduced. I should say at the outset that the Committee on Energy and Environment has the bill under active consideration, including the target of the assessment, and this office has not been asked to revise the note.

SENATOR PARRISH. Then the note is out of date.

THE FISCAL OFFICER. The note is accurate as to the bill it was prepared on. It is not a statement about the bill as amended.

SENATOR PARRISH. Will you revise it?

THE FISCAL OFFICER. If the Committee directs it. The instruction has not come.

SENATOR PARRISH. Let the record show that I asked.

SENATOR HOLLAND. Officer, on the annual charge. You have used a base of all reporting sellers. The bill charges only entities that meet the definition in section 7-019(k). Are those the same set?

THE FISCAL OFFICER. They are not necessarily the same set. This office was not asked to apply the definition and did not do so. The base in the schedules is all reporting sellers. Applying the definition would require the revenue disclosures of each seller, which this office does not hold.

SENATOR HOLLAND. So the annual figure in your note may be too high.

THE FISCAL OFFICER. It may. I have flagged the assumption in the schedules.

SENATOR PARRISH. And the property fee? You have $26.8 million.

THE FISCAL OFFICER. The Department of Revenue supplied that projection. It was computed on the prior assessment year's transactions; the current year's recorded sales were not available when the note was prepared.

SENATOR PARRISH. Officer, take me through the property fee figure. The Department of Revenue gave you a number. On what did it compute it?

THE FISCAL OFFICER. On the prior assessment year's recorded sales and permits. The current year's data were not available to the Department when it prepared the projection. I have noted that in the schedules. The prior year's turnover was 3.9 per cent against a mean recorded price of $0.805M.

SENATOR PARRISH. And if the current year's figures are different?

THE FISCAL OFFICER. Then the projection is wrong by whatever the difference is. It is a projection, not an estimate of receipts.

SENATOR HOLLAND. Officer, the assessment. Twelve billion in the note before us. The Committee on Energy and Environment has the question of the target before it.

THE FISCAL OFFICER. I am aware of the amendment. The note is on the bill as introduced.

SENATOR HOLLAND. Does this office have a view on where a figure of that order comes from?

THE FISCAL OFFICER. This office was not asked to derive it and did not. I can tell the Committee what it is not: it is not the documented damage on the Emergency Management Agency's assessments, and it is not a proportion of in-state sales on the Energy Office series. Beyond that I would be speculating.

SENATOR PARRISH. Has any witness told the Committee where it comes from?

CHAIR. Not to my recollection. The Committee will note the question as unanswered.

SENATOR HOLLAND. One more. The instalments. Five annual instalments beginning in 2026. Does the bill provide for interest?

THE FISCAL OFFICER. It does not. Nor does it say what happens if a payer ceases to meet the definition after the first instalment falls due. Both are drafting matters rather than fiscal ones, but they affect the profile of receipts and I have flagged them.

SENATOR PARRISH. What would the profile be, on your note's figure?

THE FISCAL OFFICER. Even instalments would be one fifth a year. Whether payers choose five instalments or fewer is for them. The Office's working assumption is that all payers take the full five, which is the most conservative for cash flow.

CHAIR. Thank you. The Committee stands adjourned.

Transcript prepared by the Office of the Secretary of the Senate.